

SEPARATE OPINION OF SIR CECIL HURST.

I am unable to agree with the judgment of the Court in this case.

The question which the Court is to decide is set out in the Special Agreement. It is whether the contract of 1913 (prolonging the lighthouse concession until 1949) was duly entered into and is accordingly operative as regards the Greek Government in respect of lighthouses in Crete and Samos. In answering the question the Court is to take into account the period at which Crete and Samos were detached from the Ottoman Empire, but this provision does not alter the fact that the question on which the Court is to adjudicate is whether or not the contract of 1913 was or was not duly entered into so as to be binding on Greece in respect of lighthouses in Crete and Samos.

The Parties in their presentation of the case have taken the line that the date at which Crete and Samos were detached from the Ottoman Empire was the only question for the Court to decide. In this respect the judgment of the Court has followed the line indicated by the Parties. It has adopted the view that, as the present case is accessory to the case brought before the Court by the same Parties in 1934, and as the judgment in the previous case held that the contract of 1913 was duly entered into, that question is settled once and for all and cannot be re-opened. I am unable to concur in this view.

I accept the conclusion reached in the judgment of the Court that Crete and Samos were detached from the Ottoman Empire after the Balkan wars. It is on the footing that they were so detached that in my opinion the Court should examine the question whether or not the contract in question was duly entered into and is accordingly operative as regards the Greek Government as to lighthouses in Crete and Samos.

It is common ground that if Crete and Samos were detached from the Ottoman Empire after the Balkan wars the question whether the contract of 1913 is or is not operative as regards Greece as to lighthouses in Crete and Samos will depend on whether or not the said contract falls within the scope of Article 9 of Protocol XII of the same date as the Treaty of Lausanne.

That Article lays it down that in territories detached from Turkey the successor State is subrogated to the rights and obligations of Turkey under concessionary contracts. The effect

of the various relevant articles of Protocol XII was considered by the Court in its decision of 1934. It is there said (p. 25) that Article 9 of Protocol XII naturally presumes that the concessionary contracts in question (i.e., contracts falling within the scope of the Article) are valid contracts. The only objections to subrogation which it admits are those based on the date or the validity of a concessionary contract.

It follows from the above passage that no subrogation under Article 9 can take place in respect of any concessionary contract unless and until it is shown that the contract is a valid contract: that is to say, that before it can be held that Greece is subrogated to Turkey's rights and obligations under the contract of 1913 it must be shown that that contract was duly entered into.

The Court's decision in 1934 held that the contract of 1913 was duly entered into, but an examination of the text of the judgment shows that the finding that the contract was duly entered into was a finding that it was duly entered into according to Ottoman law.

The points with which the judgment of 1934 successively deals in this respect are questions such as the authority given to the Turkish Minister of Finance to sign the contract on behalf of the Ottoman Government, the interpretation of the Turkish law of 1910 as to public utility concessions, the validity and effect of the Turkish Decree Law of April 1st/14th, 1913, authorizing the making of the contract, and the subsequent submission of the Decree Law to the Turkish Parliament.

If the subrogation under Article 9 of Protocol XII of a succession State (Greece) to Turkey's rights and duties under the contract of 1913 depends on the contract being a valid contract, i.e., a contract duly entered into, the question whether that subrogation extends to lighthouses in Crete and Samos must depend on the validity of the contract in Crete and Samos, i.e., on whether or not the effect of the contract extended to those territories.

Subrogation implies the substitution of one party for another in the enjoyment of the rights and obligations which had previously been incumbent on the latter. It does not imply—and cannot imply in the present case—that Greece was to benefit by and to be burdened with, rights and obligations in Crete and Samos which had not previously belonged to and been borne by Turkey. If Article 9 by way of subrogation imposes on Greece in respect of Crete and Samos rights and obligations under the contract of 1913, that consequence must be limited to rights and obligations which previously had appertained to Turkey. Subrogation—which is all that the Article provides for—cannot have the effect of making the contract operative as against Greece in Crete and Samos to a greater

extent than it was previously operative in Crete and Samos as against Turkey.

To justify a decision that the effect of Article 9 of Protocol XII is to render the contract of 1913 operative as regards the Greek Government in respect of lighthouses in Crete and Samos, the question of the validity of the contract as regards Crete and Samos must be enquired into. If it is to be assumed as a consequence of the finding by the Court in its judgment of 1934 that the said contract was duly entered into because it was duly entered into according to the Ottoman law in force at the time, it must be shown that the Ottoman law in question was also in force in Crete and in Samos at that time. This is a question entirely independent of the date of the detachment of Crete and Samos from the Ottoman Empire. It is an enquiry which is necessary in order to show that the conditions presented by Article 9 are fulfilled—one of those conditions being that the contract was duly entered into.

Unfortunately upon this point the Court has had no help from the Parties. France, as the State supporting the interests of the Lighthouse Administration, has taken the line that the question of the validity of the contract of 1913 as regards Crete and Samos is not a question upon which the Court has to adjudicate (Distr. 3895, pp. 45, 46). Greece has taken the line that the autonomy of Crete and Samos—the juridical element upon which the validity of the contract in respect of those territories must turn—is a matter which was only germane to the question of the date at which Crete and Samos respectively were detached from the Ottoman Empire.

In the absence of all examination of this question in the written and oral proceedings before the Court, I feel doubt whether as a member of the Court I ought to express an opinion on the point, but the material supplied by the respective Governments and annexed to the memorials and counter-memorials throws sufficient light on the problem to render it convenient that I should express the view at which I have arrived.

I take first the case of Crete. It is common ground between the Parties that at the date of the contract of 1913 Crete enjoyed a full measure of autonomy. The texts of the Constitutions of 1899 and 1907 are annexed to the Greek Memorial. Reference has already been made in a previous page of this opinion to the various questions which the Court examined and answered in its judgment of 1934 as the ground for holding that the contract of 1913 was duly entered into according to Ottoman law, questions such as the authority given to the Turkish Minister of Finance to sign the contract on behalf of the Ottoman

Government, the interpretation of the Turkish law of 1910, the effect of the Turkish Decree Law of April 1st/14th, 1913, and the subsequent submission of this Decree Law to the Turkish Parliament. The most cursory examination of the Cretan Constitutions is sufficient to show that none of these questions has any bearing on the question whether the said contract was duly entered into according to the law in force in Crete. The Turkish Minister of Finance could receive from the Sultan no authority to sign on behalf of the Turkish Government a contract operative in Crete; the Turkish law of 1910 did not apply to Crete; the Turkish Decree Law of April 1st/14th, 1913, had no operation in Crete; nor did the jurisdiction of the Turkish Parliament extend to Crete. This is sufficient to show that the Court's judgment of 1934 gives no warrant for holding that the contract of 1913 was duly entered into as regards Crete. As the validity of the contract is one of the conditions which must be fulfilled before the subrogation provided for in Article 9 of Protocol XII takes place, and as I see no reason for assuming that the said contract was duly entered into as regards Crete, the judgment of the Court should, in my view, have held that as regards lighthouses in Crete the contract is not operative as regards the Greek Government.

The French Agent maintained in his oral arguments (Distr. 3895, p. 46) that the Sultan of Turkey was entitled to conclude with force and effect in Crete the contract of 1913 because the lighthouses in the Turkish Empire constituted an Imperial service under the jurisdiction of the central authorities. It was therefore alleged that the autonomy conferred upon Crete did not impinge on the Sultan's rights in this respect. How far exactly the argument was intended to extend was not clear because it was admitted that the Cretan authorities were also concerned. The Turkish authorities had admittedly lost the right to expropriate land and such expropriation might be essential under the terms of the concession if new lighthouses had to be erected; admittedly also all the details of local administration were in the hands of the Cretan authorities who were therefore entitled to have their say in the matter. Under this argument the right of the Sultan to prolong the lighthouse concession did not carry with it the power on the Sultan's part to execute the contract. For that purpose the co-operation of the Cretan authorities was necessary. If so, one would assume that the Cretan authorities should also have been associated in the renewal of the concession, so that it might be enforceable against them. There is in any case nothing in the wording of the Cretan Constitution which

justifies the contention that any such limitation as that suggested had been imposed on the Cretan autonomy.

As regards Samos, the *Hatts* of 1832 and 1852 appear to have conferred upon the island an autonomy less far-reaching than in the case of Crete. The *Hatt* of 1832 confers upon the Samian Council only "*l'autorité intérieure de l'île*". After the date of the supplementary *Hatt* of 1852, no change appears to have been made in the measure of autonomy enjoyed by the island up to the time of the contract of 1913. Neither the 1832 instrument nor that of 1852 is at all clear as to the extent to which the Porte retained any rights of control or administration in the island. Both of them were anterior in date to the first Turkish lighthouse concession, and the facts submitted to the Court by the French Agent, and not contested by the Greek Agent, show that in practice the lighthouse concession, including the periodical renewals of the concession, was treated as operative in Samos, at any rate up to the time of the Balkan wars. In these circumstances I can see no sufficient reason for dissenting from the conclusion reached by the Court that the contract of 1913 was operative as regards the Greek Government in so far as concerns lighthouses in Samos, though I reach that conclusion in a different manner.

(Signed) CECIL J. B. HURST.